

DEMO.AUT.REC.12/24.01.041/2025-26

## **Cash Replenishment and Availability at Automated Teller Machines**

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

### **1. Objective**

This circular prescribes standards for cash availability at automated teller machines and the scheme of penalties for cash outs, in order to reduce inconvenience to members of the public.

### **2. Cash out defined**

A cash out means a situation in which an automated teller machine remains out of cash for a period exceeding ten hours in a calendar month. The period shall be computed on the basis of the switch logs maintained by the operator.

### **3. Penalty for cash out**

A flat penalty of ten thousand rupees shall be levied for each automated teller machine in respect of each instance of cash out. The penalty shall be levied on the entity that owns the machine, irrespective of whether replenishment is outsourced.

### **4. White label machines**

In the case of white label automated teller machines, the penalty shall be recovered from the sponsor bank, which may in turn recover it from the operator under the terms of their commercial arrangement.

### **5. Monthly reporting**

Operators shall submit a system generated statement of cash out instances for each machine by the fifth day of the following month. Manual certification shall not be accepted in place of the system generated statement.

### **6. Cassette swap**

Replenishment of automated teller machines shall be carried out only through the cassette swap method. Open cash top up at the machine site is prohibited on account of the risk of pilferage and of dispute over shortages.

### **7. Downtime other than cash**

Downtime arising from causes other than absence of cash, including network failure and hardware fault, shall be recorded separately and shall not be counted towards the cash out computation.